Financial Statement

Week-3 and 4

Financial Statement Objectives

- Is useful for investment decisions. (All financial statements).
- Is comprehensible. (All financial statements).
- Shows economic resources and claims on resources (Balance Sheet).
- Shows financial performance during a period (Income Statement).
- Shows cash flows (Statement of Cash Flows).

Status vs. Flow

- Status Report: Resources and obligations at a point in time:
  - Balance sheet.
- Flow Report: Activity over a period of time:
  - Income statement.
  - Statement of cash flows.

Balance Sheet

$$\underbrace{\text{Assets}}_{\text{Resources}} = \underbrace{\text{Liabilities + Owners' equity}}_{\text{Sources of financing}}$$

Current assets + Noncurrent assets = Total assets

Current liabilities + Noncurrent liabilities = Total liabilities

Paid-in capital + Retained earnings = Owners' equity.

Balance Sheet

- Assets: Resources of entity.
  - Cash.
  - Accounts Receivable.
  - Inventory.
  - Equipment.
  - Investments.
  - etc.

Balance Sheet

- Liabilities: Claims by creditors.
  - Accounts payable.
  - Notes payable.
- Owners’ Equity: Claims by investors.
  - Amounts provided directly by equity investors (Paid-in-capital).
  - Amounts retained from earnings, i.e. profits (Retained earnings).

Fundamental Accounting Equation

- Assets = Liabilities + Owners’ Equity.
- Every accounting transaction maintains equality of equation.
- Purchase $20,000 of equipment for cash.
  - Increase Equipment (asset) by $20,000 and decrease Cash (asset) by $20,000. No net change to assets.
- Purchase $20,000 of equipment on credit.
  - Increase Equipment (asset) by $20,000 and increase Notes Payable (liability) by $20,000.

Preparing a Balance sheet

- Examples

(Discuss Assets and Liabilities)

Example- (Lease, Goodwill and Brand Value)

ASSETS

NON-CURRENT ASSETS	NOVEMBER 30, 2018	NOVEMBER 30, 2017
BRANDS	$ 255	$ 302
CUSTOMER RELATIONS	71	84
LEASEHOLD RIGHTS	537	585
CAPITALISED EXPENDITURES	631	-
GOODWILL	64	64
BUILDINGS AND LAND	805	804
EQUIPMENT, TOOLS, FIXTURES, AND FITTINGS	18,326	16,589
LONG-TERM RECEIVABLES	628	608
DEFERRED TAX RECEIVABLES	1,624	1,234
TOTAL NON-CURRENT ASSETS	22,941	20,270
CURRENT ASSETS		
INVENTORY	15,213	13,819
ACCOUNTS RECEIVABLE	2,207	2,337
TAX RECEIVABLE	477	-
OTHER RECEIVABLES	1,056	1,375
PREPAID EXPENSES	1,136	1,110
SHORT-TERM INVESTMENTS	2,995	6,958
CASH AND CASH EQUIVALENTS	14,148	14,319
TOTAL ASSETS	$ 60,173	60,188

LIABILITIES AND SHAREHOLDERS' EQUITY

NON-CURRENT LIABILITIES		
PROVISIONS FOR PENSIONS	$ 377	$ 377
DEFERRED TAX LIABILITIES	1,951	950
TOTAL NON-CURRENT LIABILITIES	2,328	1,327
CURRENT LIABILITIES		
ACCOUNTS PAYABLE	4,234	4,307
TAX LIABILITIES	-	1,851
OTHER LIABILITIES	2,765	2,428
ACCRUED EXPENSES AND OTHER DEFERRED REVENUE	7,011	6,171
TOTAL LIABILITIES	16,338	16,084
SHAREHOLDERS' EQUITY		
SHARE CAPITAL	207	207
RESERVES	(1,900)	(487)
RETAINED EARNINGS	45,528	44,384
TOTAL SHAREHOLDERS' EQUITY	43,835	44,104
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$ 60,173	$ 60,188

TATA MOTORS

Balance Sheet

(₹ in crores)

	Notes	As at March 31, 2023	As at March 31, 2022
I. ASSETS			
(1) NON-CURRENT ASSETS			
(a) Property, plant and equipment	3 (b)	11,707.87	11,733.44
(b) Capital work-in-progress	3 (c)	575.65	585.21
(c) Right of use assets	4 (b)	421.27	332.45
(d) Other intangible assets	5 (b)	2,413.18	2,009.87
(e) Intangible assets under development	5 (c)	509.30	882.03
(f) Investments in subsidiaries, joint ventures and associates	6	27,976.80	27,917.45
(g) Financial assets			
(i) Investments	7	1,204.82	1,338.94
(ii) Loans and advances	9	114.40	48.43
(iii) Other financial assets	11	2,405.23	1,992.52
(h) Deferred tax assets (net)	28	1,477.26	-
(i) Non-current tax assets (net)		868.22	777.68
(j) Other non-current assets	13	596.82	662.24
		50,270.82	**48,280.26**
(2) CURRENT ASSETS			
(a) Inventories	15 (b)	3,027.90	3,718.49
(b) Financial assets			
(i) Investments	8	3,142.96	5,143.08
(ii) Trade receivables	16	2,307.72	2,111.78
(iii) Cash and cash equivalents	18 (b)	1,121.43	2,450.23
(iv) Bank balances other than (iii) above	19	293.22	155.20
(v) Loans and advances	10	132.29	139.37
(vi) Other financial assets	12	255.25	809.51
(c) Other current assets	14	1,219.18	1,091.95
		11,499.95	**15,619.61**
TOTAL ASSETS		**61,770.77**	**63,899.87**
II. EQUITY AND LIABILITIES			
EQUITY			
(a) Equity share capital	20	766.02	765.88
(b) Other equity		21,703.83	19,178.27
		22,469.85	**19,944.15**
LIABILITIES			
(1) NON-CURRENT LIABILITIES			
(a) Financial liabilities			
(i) Borrowings	22	10,445.70	14,102.74
(ii) Lease liabilities		305.26	237.84
(iii) Other financial liabilities	25	414.44	460.37
(b) Provisions	27 (b)	1,588.75	1,474.11
(c) Deferred tax liabilities (net)	28	51.16	173.72
(d) Other non-current liabilities	29	692.08	514.13
		13,497.39	**16,962.91**
(2) CURRENT LIABILITIES			
(a) Financial liabilities			
(i) Borrowings	23	8,426.74	9,129.91
(ii) Lease liabilities		100.99	58.58
(iii) Trade payables	24		
(a) Total outstanding dues of micro and small enterprises		114.67	146.10
(b) Total outstanding dues of creditors other than micro and small enterprises		7,047.93	5,956.00
(iv) Acceptances		5,839.39	7,883.96
(v) Other financial liabilities	26	1,300.18	1,113.26
(b) Provisions	27 (c)	408.89	608.06
(c) Current tax liabilities (net)		53.66	49.67
(d) Other current liabilities	30	2,511.08	2,047.27
		25,803.53	**26,992.81**
TOTAL EQUITY AND LIABILITIES		**61,770.77**	**63,899.87**

Balance sheet and Retained Earnings

Condensed Balance Sheet As of December 31, 2005		Condensed Balance Sheet As of December 31, 2006	
Assets		**Assets**	
Current assets	$22,651	Current assets	$24,062
Buildings and equipment	13,412	Buildings and equipment	14,981
Other assets	2,176	Other assets	3,207
Total assets	$38,239	Total assets	$42,250
Liabilities and owners' equity		*Liabilities and owners' equity*	
Liabilities	$12,343	Liabilities	$14,622
Owners' equity:		Owners' equity:	
Paid-in capital	12,256	Paid-in capital	12,256
Retained earnings	13,640	Retained earnings	15,372
Total liabilities and owners' equity	$38,239	Total liabilities and owners' equity	$42,250

Income Statement
For the Year 2006

Sales revenue	$75,478
Less cost of sales	52,127
Gross margin	23,351
Less operating expenses	10,885
Income before taxes	12,466
Provision for income taxes	6,344
Net income, 2006	$ 6,122

Statement of Retained Earnings

Retained earnings, 12/31/05	$13,640
Add net income	6,122
	19,762
Less dividends	4,390
Retained earnings, 12/31/06	$15,372

Income statement

- A profit and loss statement (P&L), or income statement or statement of operations, is a financial report that provides a summary of a company's revenues, expenses, and profits/losses over a given period of time.
- The P&L statement shows a company's ability to generate sales, manage expenses, and create profits.
- It is prepared based on accounting principles that include revenue recognition, matching, and accruals, which makes it different from the cash flow statement.

Measurement of income

Source: Financial Accounting for Management (2016) by Ramachandaran and Kakani

Structure of Income Statement

The main categories that can be found on the P&L include:

- Revenue (or Sales)
- Cost of Goods Sold (or Cost of Sales)
- Selling, General & Administrative (SG&A) Expenses
- Marketing and Advertising
- Technology/Research & Development
- Interest Expense
- Taxes
- Net Income

GARSDEN CORPORATION — Name of entity

Income Statement — Name of statement

For the Year Ended December 31, 2006 — Time period

Net sales	$75,478,221
Cost of sales	52,227,004
Gross margin	$23,251,217
Research and development expense	2,158,677
Selling, general, and administrative expenses	8,726,696
Operating income	$12,365,844
Other revenues (expenses):	
Interest expense	(363,000)
Interest and dividend revenues	43,533
Royalty revenues	420,010
Income before income taxes	$12,466,387
Provision for income taxes	4,986,555
Net income	$ 7,479,832
Earnings per share of common stock	$ 6.82

Statement of Retained Earnings

Retained earnings at beginning of year	$16,027,144
Add: Net income	7,479,832
Deduct: Dividends ($4 per common share)	(4,390,000)
Retained earnings at end of year	$19,116,976

Gross Margin= Net Sale- Cost of goods sold (cost of sales)
Net Sale= Gross Sale- Returns – Sales discounts

TATA MOTORS

Statement of Profit and Loss

(₹ in crores)

		Notes	Year ended March 31, 2023	Year ended March 31, 2022
	REVENUE FROM OPERATIONS			
	Revenue		65,298.84	46,880.97
	Other operating revenue		458.49	382.71
I.	Total revenue from operations	31 (b)	65,757.33	**47,263.68**
II.	Other Income	32 (b)	820.94	659.91
III.	**Total Income (I+II)**		66,578.27	**47,923.59**
IV.	**Expenses**			
	(a) Cost of materials consumed		42,226.81	31,693.11
	(b) Purchases of products for sale		6,561.32	5,030.00
	(c) Changes in inventories of finished goods, work-in-progress and products for sale		484.69	(403.87)
	(d) Employee benefits expense	33	4,021.63	3,601.51
	(e) Finance costs	34	2,047.51	2,121.73
	(f) Foreign exchange loss (net)		279.76	136.81
	(g) Depreciation and amortisation expense		1,766.86	1,760.57
	(h) Product development/Engineering expenses		899.06	593.90
	(i) Other expenses	35	7,819.74	6,018.71
	(j) Amount transferred to capital and other accounts	36	(1,066.73)	(905.42)
	Total Expenses (IV)		65,040.65	**49,647.05**
V.	**Profit/(loss) before exceptional items and tax (III-IV)**		1,537.62	(1,723.46)
VI.	**Exceptional items:**			
	(a) Employee separation cost		1.36	8.35
	(b) Cost of slump sale of PV undertaking		-	50.00
	(c) Provision/reversal for loan given to/investment in/cost of closure of subsidiary companies		4.55	(139.24)
	(d) Provision for Intangible assets under development		276.91	-
	(e) Others	49 (iii)	-	(2.52)
VII.	**Profit/(loss) before tax (V-VI)**		1,254.80	**(1,640.05)**
VIII.	**Tax expense/(credit) (net)**	28		
	(a) Current tax		81.60	51.18
	(b) Deferred tax		(1,554.93)	48.00
	Total tax expense/(credit) (net)		(1,473.33)	**99.18**
IX.	**Profit/(loss) for the year from continuing operations (VII-VIII)**		2,728.13	**(1,739.23)**
X.	**Profit/(loss) before tax for the year from discontinued operations**	45	-	**392.51**
XI.	**Tax expense (net) of discontinued operations**	28		
	(a) Current tax		-	44.14
	(b) Deferred tax		-	-
	Total tax expense		-	**44.14**
XII.	Profit for the year after tax from discontinued operations (X-XI)	45	-	**348.37**
XIII.	Profit/(loss) for the year (IX+XII)		2,728.13	**(1,390.86)**
XIV.	**Other comprehensive income/(loss):**			
	(A) (i) Items that will not be reclassified to profit and loss:			
	(a) Remeasurement losses on defined benefit obligations (net)		(61.43)	(57.66)
	(b) Equity instruments at fair value through other comprehensive income		(134.12)	371.29
	(ii) Income tax credit/(expense) relating to items that will not be reclassified to profit and loss		34.96	(32.33)
	(B) (i) Items that will be reclassified to profit and loss - gains/(losses) in cash flow hedges		(99.69)	1.62
	(ii) Income tax credit/(expense) relating to items that will be reclassified to profit and loss		9.93	(0.57)
	Total other comprehensive income/(loss), net of taxes		(250.35)	**282.35**
XV.	**Total comprehensive income/(loss) for the year (XIII+XIV)**		2,477.78	**(1,108.51)**
XVI.	**Earnings/(loss) per share (EPS)**	38		
	Earnings/(loss) per share from continuing operations (EPS)			
	(A) Ordinary shares (face value of ₹ 2 each) :			
	(i) Basic	₹	7.11	(4.54)
	(ii) Diluted	₹	7.11	(4.54)
	(B) 'A' Ordinary shares (face value of ₹ 2 each) :			
	(i) Basic	₹	7.21	(4.54)
	(ii) Diluted	₹	7.21	(4.54)
	Earnings/(loss) per share from discontinued operations (EPS)			
	(A) Ordinary shares (face value of ₹ 2 each) :			
	(i) Basic	₹	-	0.90
	(ii) Diluted	₹	-	0.90
	(B) 'A' Ordinary shares (face value of ₹ 2 each) :			
	(i) Basic	₹	-	1.00
	(ii) Diluted	₹	-	1.00
	Earnings/(loss) per share from continuing and discontinued operations (EPS)			
	(A) Ordinary shares (face value of ₹ 2 each) :			
	(i) Basic	₹	7.11	(3.63)
	(ii) Diluted	₹	7.11	(3.63)
	(B) 'A' Ordinary shares (face value of ₹ 2 each) :			
	(i) Basic	₹	7.21	(3.63)
	(ii) Diluted	₹	7.21	(3.63)

Ford Motor

FORD MOTOR COMPANY AND SUBSIDIARIES
CONSOLIDATED INCOME STATEMENTS
(in millions, except per share amounts)

	For the years ended December 31,		
	2020	2021	**2022**
Revenues			
Automotive	$ 115,894	$ 126,150	**$ 148,980**
Ford Credit	11,203	10,073	**8,978**
Mobility	47	118	**99**
Total revenues (Note 4)	127,144	136,341	**158,057**
Costs and expenses			
Cost of sales	112,752	114,651	**134,397**
Selling, administrative, and other expenses	10,193	11,915	**10,888**
Ford Credit interest, operating, and other expenses	8,607	5,252	**6,496**
Total costs and expenses	131,552	131,818	**151,781**
Operating income/(loss)	(4,408)	4,523	**6,276**
Interest expense on Company debt excluding Ford Credit	1,649	1,803	**1,259**
Other income/(loss), net (Note 5)	4,899	14,733	**(5,150)**
Equity in net income/(loss) of affiliated companies (Note 14)	42	327	**(2,883)**
Income/(Loss) before income taxes	(1,116)	17,780	**(3,016)**
Provision for/(Benefit from) income taxes (Note 7)	160	(130)	**(864)**
Net income/(loss)	(1,276)	17,910	**(2,152)**
Less: Income/(Loss) attributable to noncontrolling interests	3	(27)	**(171)**
Net income/(loss) attributable to Ford Motor Company	$ (1,279)	$ 17,937	**$ (1,981)**
EARNINGS/(LOSS) PER SHARE ATTRIBUTABLE TO FORD MOTOR COMPANY COMMON AND CLASS B STOCK (Note 8)			
Basic income/(loss)	$ (0.32)	$ 4.49	**$ (0.49)**
Diluted income/(loss)	(0.32)	4.45	**(0.49)**
Weighted-average shares used in computation of earnings/(loss) per share			
Basic shares	3,973	3,991	**4,014**
Diluted shares	3,973	4,034	**4,014**

Note: SEC requires recent three Income statement and two years for balance sheet reporting by the companies.

Example

AMAZON.COM, INC.

CONSOLIDATED STATEMENTS OF OPERATIONS
(in millions, except per share data)

	Year Ended December 31,		
	2015	2016	2017
Net product sales	$ 79,268	$ 94,665	$ 118,573
Net service sales	27,738	41,322	59,293
Total net sales	107,006	135,987	177,866
Operating expenses:			
Cost of sales	71,651	88,265	111,934
Fulfillment	13,410	17,619	25,249
Marketing	5,254	7,233	10,069
Technology and content	12,540	16,085	22,620
General and administrative	1,747	2,432	3,674
Other operating expense, net	171	167	214
Total operating expenses	104,773	131,801	173,760
Operating income	2,233	4,186	4,106
Interest income	50	100	202
Interest expense	(459)	(484)	(848)
Other income (expense), net	(256)	90	346
Total non-operating income (expense)	(665)	(294)	(300)
Income before income taxes	1,568	3,892	3,806
Provision for income taxes	(950)	(1,425)	(769)
Equity-method investment activity, net of tax	(22)	(96)	(4)
Net income	$ 596	$ 2,371	$ 3,033
Basic earnings per share	$ 1.28	$ 5.01	$ 6.32
Diluted earnings per share	$ 1.25	$ 4.90	$ 6.15
Weighted-average shares used in computation of earnings per share:			
Basic	467	474	480
Diluted	477	484	493

Problem 1

As of December 31, Charles Company had $12,000 in cash, held $95,000 of inventory, and owned other items that originally cost $13,000. Charles Company also had borrowed $40,000 from First City Bank. Prepare a balance sheet for Charles Company as of December 31. Be sure to label each item and each column with appropriate terms.

Example

Company

BALANCE SHEET AS OF DECEMBER 31, ----.

Assets		**Liabilities and Owners' Equity**	
Cash	$ 12,000	Bank loan	$ 40,000
Inventory	95,000	Owners' Equity	
Other assets	13,000	Owners' equity	80,000
Total assets	$120,000	Total liabilities and owners' equity	$120,000

Problem -2

Selected balance sheet items are shown for the Microtech Company. Compute the missing amounts for each of the four years. What basic accounting equation did you apply in making your calculations?

	Year 1	Year 2	Year 3	Year 4
Current assets	$113,624	$?	$ 85,124	$?
Noncurrent assets	?	198,014	162,011	151,021
Total assets	$524,600	$?	$?	$220,111
Current liabilities	$ 56,142	$ 40,220	$?	$?
Noncurrent liabilities	?	?	60,100	30,222
Paid-in capital	214,155	173,295	170,000	170,000
Retained earnings	13,785	(3,644)	1,452	2,350
Total liabilities and owners' equity	$524,600	$288,456	$?	$220,111

Solution

The missing numbers are:

Year 1

Noncurrent assets	$410,976
Noncurrent liabilities	240,518

Year 2

Current assets	$ 90,442
Total assets	288,456
Noncurrent liabilities	78,585

Year 3

Total assets	$247,135
Current liabilities	15,583
Total liabilities and owners' equity	247,135

Year 4

Current assets	$ 69,090
Current liabilities	17,539

The basic accounting equation is

Assets = Liabilities + Owners' equity

Current assets + Noncurrent assets = Total assets

Current liabilities + Noncurrent liabilities = Total liabilities

Paid-in capital + Retained earnings = Owners' equity.

Income Statement

- Summaries results of operating activity over a period of time.
- **Revenues – Expenses = Net Income**.
- Net income (or net loss) is the amount added to (subtracted from) Retained earnings.

Problem 3

An analysis of the transactions made by Acme Consulting for the month of July is shown below.

	Cash	+ Accounts Receivable	+ Supplies Inventory	+ Equipment	= Accounts Payable	+ Owners' Equity	Description of Transaction
1.	+$20,000					+$20,000	Investment
2.	−$ 5,000			+$7,000	+$2,000		
3.	−$ 1,000		+$1,000				
4.	−$ 4,500					−$ 4,500	Salaries
5.	+$ 5,000	+$5,000				+$10,000	Revenues
6.	−$ 1,500				−$1,500		
7.	+$ 1,000	−$1,000					
8.	−$ 750					−$ 750	Rent
9.	−$ 500					−$ 500	Utilities
10.					+$ 200	−$ 200	Travel
11.			−$ 200			−$ 200	

Required:

a. Explain each transaction.

b. List the changes in the company's balance sheet during the month of July.

c. Prepare an income statement for the month (ignore taxes).

d. Explain the changes in the Cash account.

e. Explain why the change in the Cash account and the month's income are not the same.

Solution

1. Owners invest $20,000 of equity capital in Acme Consulting.
2. Equipment costing $7,000 is purchased for $5,000 cash and an account payable of $2,000.
3. Supplies inventory costing $1,000 is bought for cash.
4. Salaries of $4,500 are paid in cash.
5. Revenues of $10,000 are earned, of which $5,000 has been recovered in cash. The remaining $5,000 is owed to the company by its customers.
6. Accounts payable of $1,500 are paid in cash.
7. Customers pay $1,000 of the $5,000 they owe the company.
8. Rent Expense of $750 is paid in cash.
9. Utilities of $500 are paid in cash.
10. A $200 travel expense has been incurred but not yet paid.
11. Supplies inventory costing $200 are consumed.

An analysis of the transactions made by Acme Consulting for the month of July is shown below.

	Cash +	Accounts Receivable +	Supplies Inventory +	Equipment =	Accounts Payable +	Owners' Equity	Description of Transaction
1.	+$20,000					+$20,000	Investment
2.	−$ 5,000			+$7,000	+$2,000		
3.	−$ 1,000		+$1,000				
4.	−$ 4,500					−$ 4,500	Salaries
5.	+$ 5,000	+$5,000				+$10,000	Revenues
6.	−$ 1,500				−$1,500		
7.	+$ 1,000	−$1,000					
8.	−$ 750					−$ 750	Rent
9.	−$ 500					−$ 500	Utilities
10.					+$ 200	−$ 200	Travel
11.			−$ 200			−$ 200	

Balance sheet

ACME CONSULTING
BALANCE SHEET AS OF JULY 31, ----.

Assets		Liabilities and Owners' Equity	
Cash	$12,750	Accounts payable	$ 700
Accounts receivable	4,000		
Supplies inventory	800		
Current assets	17,550	Current liabilities	700
Equipment	7,000	Owners' equity	23,850
Total assets	$24,550	Total liabilities and owners' equity	$24,550

Income Statement

ACME CONSULTING
INCOME STATEMENT JULY 1 - 31, ----.

Revenues		$10,000
Expenses		
Salaries	4,500	
Rent	750	
Utilities	500	
Travel	200	
Supplies	200	6,150
Net income		$ 3,850

Cash Account

ACME CONSULTING
CASH RECEIPTS AND DISBURSEMENTS, JULY 1 - 31, ----.

Receipts	
Owners' investment	$20,000
Cash sales	5,000
Collection of accounts receivable	1,000
Total receipts	$26,000
Disbursements	
Equipment purchase	$5,000
Supplies purchase	1,000
Salaries paid	4,500
Payments to vendors	1,500
Rent paid	750
Utilities paid	500
Total disbursements	$13,250
Increase in cash	$12,750

Note:
1. The change in this cash account includes the owners' investment, which is not an income statement item.
2. The income statement includes revenues and expenses that have not yet been received in cash or paid in cash.
3. The cash paid to purchase the equipment is not reflected in the income statement.

Problem 4

The Hosmer Company had June sales of $275,000. The cost of goods sold was $164,000 and other cash expenses were:

Rent	$ 3,300	Taxes	$ 1,375
Salaries	27,400	Other	50,240

Required:
What were the company's (*a*) revenues, (*b*) expenses, and (*c*) net income in June?

Solution 4

The Hosmer Company had June sales of $275,000. The cost of goods sold was $164,000 and other cash expenses were:

Rent	$ 3,300	Taxes	$ 1,375
Salaries	27,400	Other	50,240

Required:
What were the company's (*a*) revenues, (*b*) expenses, and (*c*) net income in June?

Revenues—$275,000

a. Expenses –

Cost of goods sold..........	$164,000
Rent	3,300
Salaries	27,400
Taxes	1,375
Other................................	50,240
246,315	

Net income $28,685

Problem 5

Worden Corporation has the following income statement for the year:

Income Statement For the Year Ended December 31		
Sales revenues		$85,000
Expenses:		
Cost of goods sold		$45,000
Selling and administrative expenses		25,000
Income taxes		6,000
Total expenses		$76,000
Net Income		$ 9,000

Calculate

(1) Gross margin (in dollars).

(2) Gross margin percentage.

(3) Profit margin percentage.

Solution 5

a. (1)

Sales	$85,000
Cost of goods sold	45,000
Gross margin	$40,000

(2) 47 percent gross margin ($40,000 / $85,000)

(3) 11 percent profit margin (9000/85000)

Worden Corporation has the following income statement for the year:

Income Statement
For the Year Ended December 31

Sales revenues		$85,000
Expenses:		
Cost of goods sold		$45,000
Selling and administrative expenses		25,000
Income taxes		6,000
Total expenses		$76,000
Net Income		$ 9,000

Calculate

(1) Gross margin (in dollars).

(2) Gross margin percentage.

(3) Profit margin percentage.

Problem 6

QED Electronics Company had the following transactions during April while conducting its television and stereo repair business.

1. A new repair truck was purchased for $19,000.
2. Parts with a cost of $1,600 were received and used during April.
3. Service revenue for the month was $33,400, but only $20,500 was cash sales. Typically, only 95 percent of sales on account are realized.
4. Interest expense on loans outstanding was $880.
5. Wage costs for the month totaled $10,000; however, $1,400 of this had not yet been paid to the employees.
6. Parts inventory from the beginning of the month was depleted by $2,100.
7. Utility bills totaling $1,500 were paid. $700 of this amount was associated with March's operations.
8. Depreciation expense was $2,700.
9. Selling expenses were $1,900.
10. A provision for income taxes was established at $2,800, of which $2,600 had been paid to the federal government.
11. Administrative and miscellaneous expenses were recorded at $4,700.

Required:
Prepare a detailed April income statement.

Bad debt= 5% of credit sales
= 20,500 *0.05=$ 545

Solution 6

QED ELECTRONICS COMPANY
Income Statement for the month of April, ----.

Sales		$33,400
Expenses:		
Bad debts	$ 545	
Parts	3,700	
Interest	880	
Wages	10,000	
Utilities	800	
Depreciation	2,700	
Selling	1,900	
Administrative	4,700	
		25,325
Profit before taxes		8,075
Provision for taxes		2,800
Net income		$5,275

QED Electronics Company had the following transactions during April while conducting its television and stereo repair business.

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10. A provision for income taxes was established at $2,800, of which $2,600 had been paid to the federal government.
11. Administrative and miscellaneous expenses were recorded at $4,700.

- Truck purchase has no income statement effect. It is an asset.
- Sales are recorded as earned, not when cash is received. Bad debt provision of 5 percent related to sales on credit ($33,400 - $20,500) must be recognized. Wages expense is recognized as incurred, not when paid.
- March's utility bill is an expense of March when the obligation was incurred.
- Income tax provision relates to pretax income. Must be matched with related income.

Cash flow Statement

- Third required financial statement.
- The purpose of cash flow statement is to provide information about the *cash flows associated with the period's operations* and about the entity's *investing and financing activities.*
- Does not affect the way transactions are recorded (i.e., information for statement is derived from data reported in other financial statements).
- In India, the Indian Accounting Standard 7 "Statement of cash flows", issued by the ICAI, guides the preparation of cash flow statements.

Income Statement vs. Statement of Cash Flows

- Income statement.
  - Accrual basis results of entity's operating activities during a period.
  - Revenue recognition, matching of expenses.
- Statement of Cash Flows.
  - Cash flows associated with an entity's operating, investing, and financing activities during a period.
  - Reconciles changes in cash account on balance sheet (i.e., beginning balance to ending balance).

Items of expenses in P&L Account

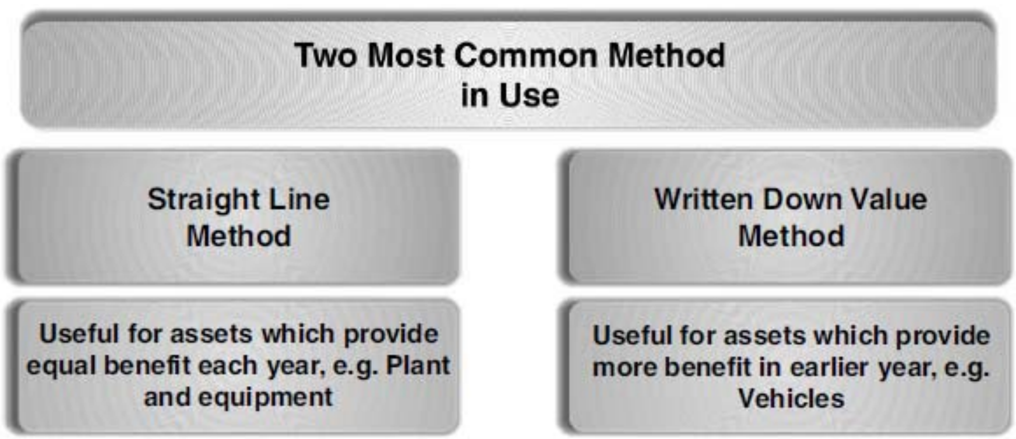
(₹ crore)

	Note	Year ended March 31, 2023	Year ended March 31,2022
Revenue from operations	10	1,90,354	1,60,341
Other income	11	5,328	7,486
TOTAL INCOME		**1,95,682**	**1,67,827**
Expenses			
Employee benefit expenses	12	96,218	81,097
Cost of equipment and software licences	13(a)	1,416	1,010
Finance costs	14	695	486
Depreciation and amortisation expense		3,940	3,522
Other expenses	13(b)	41,723	31,989
TOTAL EXPENSES		**1,43,992**	**1,18,104**
PROFIT BEFORE TAX		**51,690**	**49,723**

Refer to TCS Annual Report page 261

Role of depreciation

- All non-current tangible assets are long-lived and provide benefits beyond one operating cycle. All costs incurred on any asset with a limited life, thus, expire during its lifetime. Depreciation expense is the expired cost of a tangible fixed asset during an accounting period.



Example

- A machine purchased for Rs 5 million having a five-year life and no salvage value, is used in a business. During the life of the asset, it will be able to earn a revenue of Rs 10 million.

Revenue over the period of use of the assets *(in Millions)*

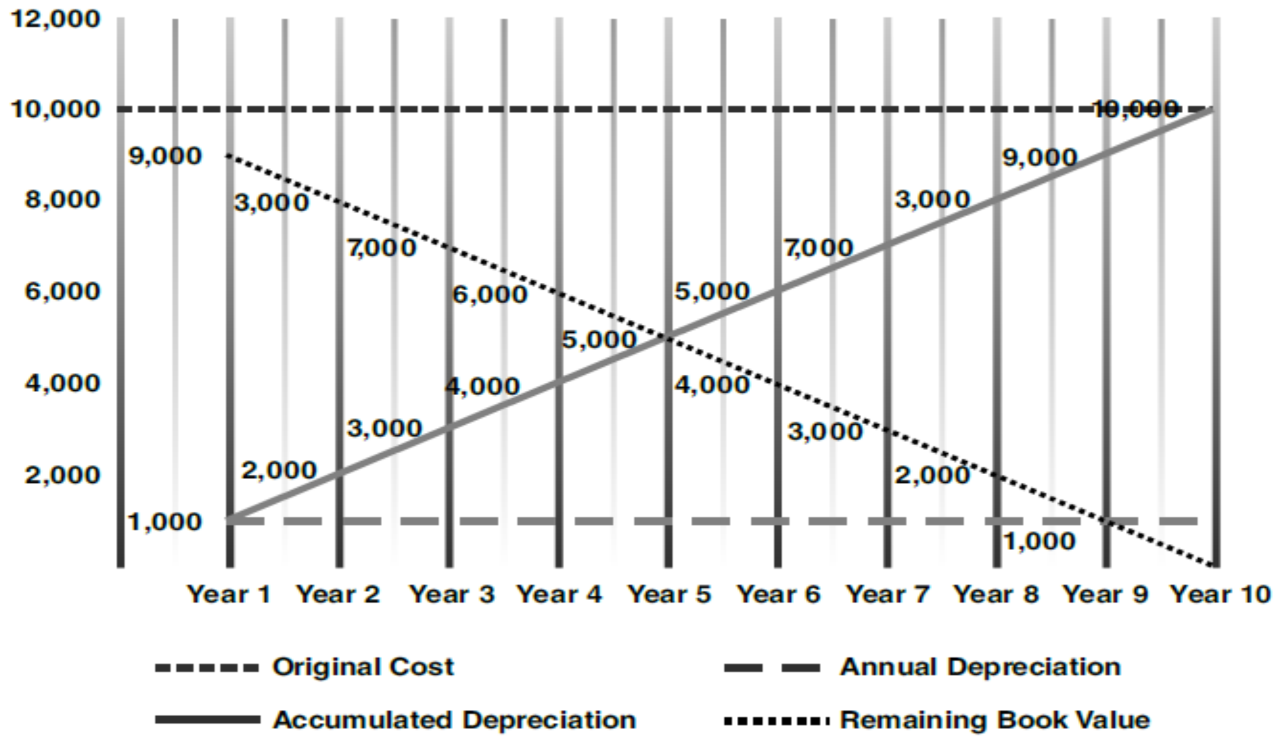
Total Revenue						= ₹10
Period →	1	2	3	4	5	
Amount	₹2	₹2	₹2	₹2	₹2	= ₹10

Straight Line Method of Depreciation

- Assume that a company acquires a machine at the beginning of operations, at Rs 10,000. It is expected that the machine will last 10 years and will have no salvage value at the end of its useful life.

Year	Original Cost	Annual Depreciation	Accumulated Depreciation	Remaining Book Value
0	10,000			
1	10,000	1,000	1,000	9,000
2	10,000	1,000	2,000	8,000
3	10,000	1,000	3,000	7,000
4	10,000	1,000	4,000	6,000
5	10,000	1,000	5,000	5,000
6	10,000	1,000	6,000	4,000
7	10,000	1,000	7,000	3,000
8	10,000	1,000	8,000	2,000
9	10,000	1,000	9,000	1,000
10	10,000	1,000	10,000	0

SLM Depreciation



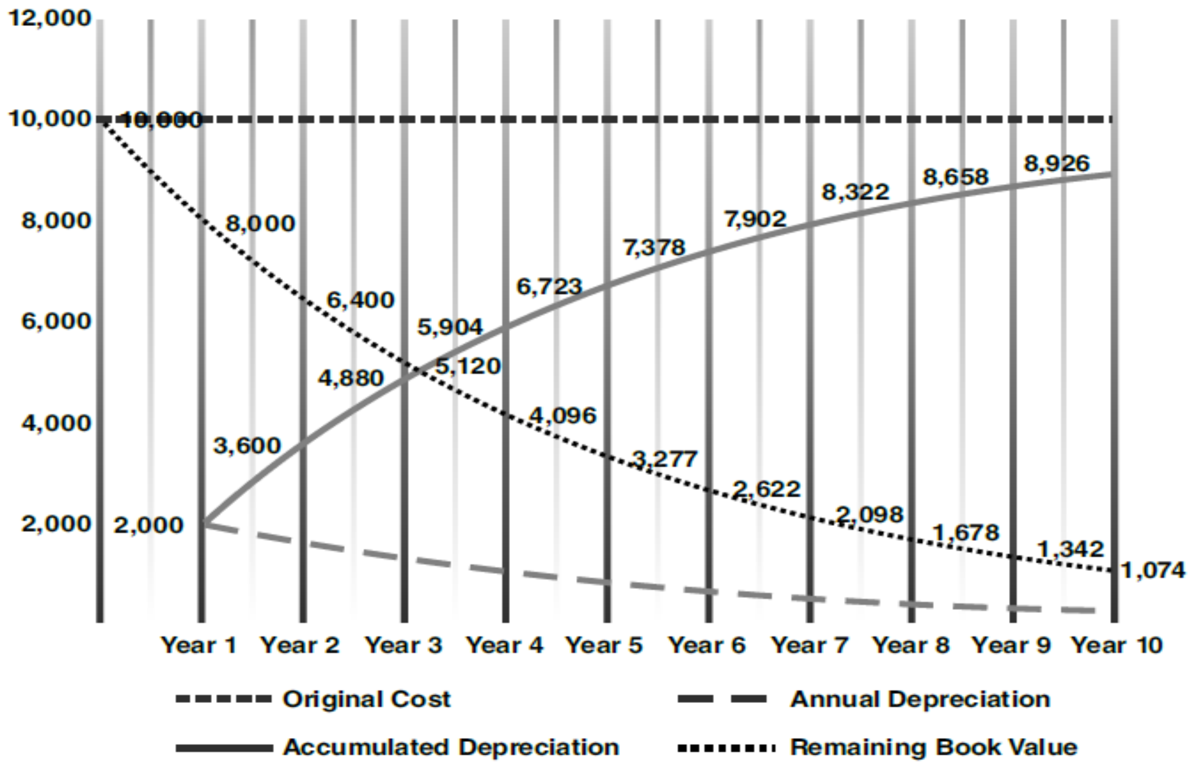
Written Down Value Method of Depreciation

- Under written down value method of depreciation (also known as Reducing Balance Method), the assumption is that the amount of expiration of the cost of the non-current asset is higher during the initial years.

Depreciation @ 20% per annum: Written Down Value Method

Year	Original Cost	Annual Depreciation	Accumulated Depreciation	Remaining Book Value
0	10,000			10,000
1	10,000	2,000	2,000	8,000
2	10,000	1,600	3,600	6,400
3	10,000	1,280	4,880	5,120
4	10,000	1,024	5,904	4,096
5	10,000	819	6,723	3,277
6	10,000	655	7,378	2,622
7	10,000	524	7,902	2,098
8	10,000	420	8,322	1,678
9	10,000	336	8,658	1,342
10	10,000	268	8,926	1,074

WDV Method



12,000
10,000
8,000
6,000
4,000
2,000
10,000
8,000
6,400
5,120
4,096
3,277
2,622
2,098
1,678
1,342
1,074
2,000
3,600
4,880
5,904
6,723
7,378
7,902
8,322
8,658
8,926
Year 1
Year 2
Year 3
Year 4
Year 5
Year 6
Year 7
Year 8
Year 9
Year 10
Original Cost
Annual Depreciation
Accumulated Depreciation
Remaining Book Value

Benefits of the Statement of Cash Flows

- Numbers on cash flow statement are objective (i.e., cash is cash).
- Eliminates judgments and estimates involved with accrual accounting as on income statement and balance sheet.
- Useful information for users dependent upon a healthy cash flow from entity (e.g., employees, suppliers, lenders).
- But in some instances, balance sheet and income statement may provide better information about financial status and operating performance.

Statement of Cash Flows: Categories of Activities

- *Sources* of cash
  - Activities that generate cash.
- *Uses* of cash
  - Activities that involve spending cash.

Sources and Uses of cash

Sources

- Operations.
- New borrowings.
- New stock issues.
- Sale of property, plant, and equipment.
- Sale of other non-current assets.

Uses

- Cash dividends.
- Repayment of borrowings.
- Repurchase of stock.
- Purchase of property, plant, and equipment.
- Purchase of non-current assets.

Definition of *Cash*

- Cash.
- Cash equivalents.
  - Short-term investments.
  - Highly liquid.
  - Convertible to known amounts of cash.
  - Mature in no more than 90 days (GAAP).
  - Subject to insignificant risk of changes in value (IASB).

Organization of the Statement of Cash Flows

1. Operating activities
2. Investing activities.
3. Financing activities.

Example

	Amount
(A) Cash flows from operating activities	XXXX
(B) Cash flows from investing activities	XXXX
(C) Cash flows from financing activities	XXXX
Net increase (decrease) in cash and cash equivalents (A + B + C)	XXXX
Add: Cash and cash equivalents at the beginning	XXXX
= Cash and cash equivalents at the end	XXXXX

FAIRWAY CORPORATION
Statement of Cash Flows
For the Year Ending December 31, 2006
(in thousands)

Net cash flow from operating activities:	
Net income	$200
Noncash expenses, revenues, gains, and losses included in income:	
Depreciation	120
Deferred taxes	5
Increase in accounts receivable	(87)
Increase in inventories	(47)
Increase in accounts payable	56
Increase in taxes payable	1
Gain on sale of equipment	(20)
Cash flow from operating activities	228
Cash flows from investing activities:	
Acquisition of plant and equipment	(500)
Proceeds from disposals of plant and equipment	20
Purchase of investment securities	(25)
Proceeds from sales of investment securities	75
Net cash used by investing activities	(430)
Cash flows from financing activities:	
Proceeds of short-term debt	15
Payments to settle short-term debt	(36)
Proceeds of long-term debt	375
Payments on long-term debt	(40)
Proceeds from issuing common stock	44
Dividends paid	(60)
Net cash provided by financing activities	298
Net increase (decrease) in cash and cash equivalents	96
Cash and cash equivalents at beginning of year	230
Cash and cash equivalents at end of year	$326

TATA MOTORS

(₹ in crores)

	Year ended March 31, 2023	Year ended March 31, 2022
Cash flows from operating activities:		
Profit/(Loss) for the year from continuing operations	2,728.13	(1,739.23)
Profit for the year from discontinued operations	-	348.37
Adjustments for:		
Depreciation and amortisation expense	1,766.86	2,724.93
Allowances for trade and other receivables	105.12	42.71
Discounting of warranty and other provisions	(128.53)	-
Inventory write down (net)	32.21	25.25
Provision for Intangible assets under development	276.91	-
Provision/(reversal) for loan given to/investment and cost of closure in subsidiary companies/joint venture (net)	4.55	(699.15)
Accrual for share-based payments	20.46	18.04
Profit on sale of assets (net) (including assets scrapped / written off)	(88.47)	(70.95)
Profit on sale of investments at FVTPL (net)	(71.82)	(109.82)
Marked-to-market gain on investments measured at FVTPL	(6.81)	(10.16)
Tax expense/(credit) (net)	(1,473.33)	143.32
Finance costs	2,047.51	2,300.73
Interest income	(245.42)	(323.59)
Dividend income	(187.52)	(80.08)
Unrealized foreign exchange loss (net)	230.40	112.69
	2,282.12	**4,073.92**
Cash flows from operating activities before changes in following assets and liabilities	5,010.25	2,683.06
Trade receivables	(306.46)	(1,015.62)
Loans and advances and other financial assets	126.28	(245.40)
Other current and non-current assets	(98.21)	(240.50)
Inventories	658.37	(1,201.08)
Trade payables and acceptances	(957.24)	5,285.19
Other current and non-current liabilities	620.22	(56.72)
Other financial liabilities	(88.17)	289.73
Provisions	(21.46)	(60.79)
Cash generated from/(used in) operations	**4,943.58**	**5,437.87**
Income taxes paid (net)	(168.15)	(155.94)
Net cash from/(used in) operating activities	**4,775.43**	**5,281.93**

Investing activities

Cash flows from investing activities:		
Payments for property, plant and equipments	(761.29)	(1,191.03)
Payments for other intangible assets	(936.07)	(639.64)
Proceeds from sale of property, plant and equipments	122.70	99.57
Investments in Mutual Fund (purchased)/sold (net)	2,078.75	(3,560.47)
Investments in subsidiary companies	(191.18)	(870.91)
Proceeds from sale of defence business	-	234.09
Loan given to subsidiary companies/payment for costs of closure in subsidiary companies	(45.00)	(51.10)
Return of Investment by subsidiary company	131.83	-
(Increase)/decrease in short term inter corporate deposit (net)	(15.00)	30.00
Deposits/restricted deposits with financial institution	(500.00)	(600.00)
Realisation of deposits with financial institution	800.00	1,300.00
Deposits/restricted deposits with banks	(276.64)	(540.87)
Realisation of deposits/restricted deposits with banks	141.78	2,259.30
Interest received	185.27	301.49
Dividend received	187.52	80.08
Net cash generated from/(used in) investing activities	**922.67**	**(3,149.49)**

Financing activities

Cash flows from financing activities		
Proceeds from issue of shares and share application pending allotment (net of issue expenses)	19.60	18.61
Proceeds from long-term borrowings	8.99	1,999.79
Repayment of long-term borrowings	(4,808.33)	(3,482.07)
Proceeds/(payment) from Option Settlement of long term borrowings	(106.51)	(97.77)
Proceeds from short-term borrowings	52.35	5,137.27
Repayment of short-term borrowings	(937.10)	(4,936.80)
Net change in other short-term borrowings (with maturity up to three months)	825.77	3,270.78
Repayment of lease liabilities (including interest)	(68.33)	(151.63)
Dividend paid	-	(1.53)
Interest paid [including discounting charges paid, ₹**425.37 crores** (March 31, 2022 ₹492.62 crores)]	(2,007.76)	(2,272.49)
Net cash from/(used in) financing activities	**(7,021.32)**	**(515.84)**
Net increase/(decrease) in cash and cash equivalents	(1,323.22)	1,616.60
Cash and cash equivalents as at April 1, (opening balance)	2,450.23	2,365.54
Cash outflow as a part of slump sale of PV undertaking (refer note 45)	-	(1,200.00)
Adjustment due to conversion of joint operation into joint venture	-	(341.21)
Effect of foreign exchange on cash and cash equivalents	(5.58)	9.30
Cash and cash equivalents as at March 31, (closing balance)	**1,121.43**	**2,450.23**

Ford Motors

FORD MOTOR COMPANY AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(in millions)

	For the years ended December 31,		
	2020	2021	**2022**
Cash flows from operating activities			
Net income/(loss)	$ (1,276)	$ 17,910	**$ (2,152)**
Depreciation and tooling amortization (Note 12 and Note 13)	8,751	7,318	**7,642**
Other amortization	(1,294)	(1,358)	**(1,149)**
Held-for-sale impairment charges (Note 22)	23	—	**32**
Brazil manufacturing exit non-cash charges (excluding accelerated depreciation of $145, $322, and $17) (Note 21)	1,159	48	**(82)**
(Gains)/Losses on extinguishment of debt (Note 5 and Note 19)	1	1,702	**121**
Provision for/(Benefit from) credit and insurance losses	929	(298)	**46**
Pension and other postretirement employee benefits ("OPEB") expense/(income) (Note 17)	1,027	(4,865)	**(378)**
Equity method investment dividends received in excess of (earnings)/losses and impairments	130	116	**3,324**
Foreign currency adjustments	(420)	532	**(27)**
Net realized and unrealized (gains)/losses on cash equivalents, marketable securities, and other investments (Note 5)	(315)	(9,159)	**7,518**
Net (gain)/loss on changes in investments in affiliates (Note 5)	(3,446)	(368)	**147**
Stock compensation (Note 6)	199	305	**336**
Provision for deferred income taxes	(269)	(563)	**(1,910)**
Decrease/(Increase) in finance receivables (wholesale and other)	12,104	7,656	**(10,560)**
Decrease/(Increase) in accounts receivable and other assets	(63)	(1,141)	**(1,183)**
Decrease/(Increase) in inventory	148	(1,778)	**(2,576)**
Increase/(Decrease) in accounts payable and accrued and other liabilities	6,809	(36)	**7,268**
Other	72	(234)	**436**
Net cash provided by/(used in) operating activities	24,269	15,787	**6,853**
Cash flows from investing activities			
Capital spending	(5,742)	(6,227)	**(6,866)**
Acquisitions of finance receivables and operating leases	(55,901)	(48,379)	**(45,533)**
Collections of finance receivables and operating leases	48,746	52,094	**46,276**
Proceeds from sale of business (Note 22)	1,340	145	**449**
Purchases of marketable securities and other investments	(39,624)	(27,491)	**(17,458)**
Sales and maturities of marketable securities and other investments	32,395	33,229	**19,117**
Settlements of derivatives	(323)	(272)	**94**
Capital contributions to equity method investments (Note 24)	(4)	(57)	**(738)**
Other	498	(297)	**312**
Net cash provided by/(used in) investing activities	(18,615)	2,745	**(4,347)**
Cash flows from financing activities			
Cash payments for dividends and dividend equivalents	(596)	(403)	**(2,009)**
Purchases of common stock	—	—	**(484)**
Net changes in short-term debt	(2,291)	3,273	**5,460**
Proceeds from issuance of long-term debt	65,900	27,901	**45,470**
Payments of long-term debt	(60,514)	(54,164)	**(45,655)**
Other	(184)	(105)	**(271)**
Net cash provided by/(used in) financing activities	2,315	(23,498)	**2,511**
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	225	(232)	**(414)**
Net increase/(decrease) in cash, cash equivalents, and restricted cash	**$ 8,194**	**$ (5,198)**	**$ 4,603**
Cash, cash equivalents, and restricted cash at beginning of period (Note 9)	$ 17,741	$ 25,935	**$ 20,737**
Net increase/(decrease) in cash, cash equivalents, and restricted cash	8,194	(5,198)	**4,603**
Cash, cash equivalents, and restricted cash at end of period (Note 9)	$ 25,935	$ 20,737	**$ 25,340**

Implication on Balance sheet

Balance Sheet

(₹ in crores)

	Notes	As at March 31, 2023	As at March 31, 2022
I. ASSETS			
(1) NON-CURRENT ASSETS			
(a) Property, plant and equipment	3 (b)	11,707.87	11,733.44
(b) Capital work-in-progress	3 (c)	575.65	585.21
(c) Right of use assets	4 (b)	421.27	332.45
(d) Other intangible assets	5 (b)	2,413.18	2,009.87
(e) Intangible assets under development	5 (c)	509.30	882.03
(f) Investments in subsidiaries, joint ventures and associates	6	27,976.80	27,917.45
(g) Financial assets			
(i) Investments	7	1,204.82	1,338.94
(ii) Loans and advances	9	114.40	48.43
(iii) Other financial assets	11	2,405.23	1,992.52
(h) Deferred tax assets (net)	28	1,477.26	-
(i) Non-current tax assets (net)		868.22	777.68
(j) Other non-current assets	13	596.82	662.24
		50,270.82	**48,280.26**
(2) CURRENT ASSETS			
(a) Inventories	15 (b)	3,027.90	3,718.49
(b) Financial assets			
(i) Investments	8	3,142.96	5,143.08
(ii) Trade receivables	16	2,307.72	2,111.78
(iii) Cash and cash equivalents	18 (b)	1,121.43	2,450.23
(iv) Bank balances other than (iii) above	19	293.22	155.20
(v) Loans and advances	10	132.29	139.37
(vi) Other financial assets	12	255.25	809.51
(c) Other current assets	14	1,219.18	1,091.95
		11,499.95	**15,619.61**
TOTAL ASSETS		**61,770.77**	**63,899.87**

Operating Activities

- Core activities of business entity
- All transactions that are not investing or financing activity.
- Cash inflows associated with sales revenues.
- Cash outflows associated with operating activities (e.g., payments to suppliers, employees, taxes, interest on loans).

Investing Activities

- Outflows:
  - Acquiring long-lived assets (e.g., property, plant, equipment).
  - Making investments in securities (i.e., other than cash equivalents).
  - Lending money.
- Inflows:
  - Disposing of long-lived assets (e.g., property, plant, equipment).
  - Disposing of investments in securities (i.e., other than cash equivalents).
  - Collecting loans.

Financing Activities

- Inflows:
  - Borrowing of cash.
  - Issuance of equity securities.
- Outflows:
  - Repaying loans.
  - Retiring equity securities.
  - Payment of dividends.

Comprehensive problem

- Rohan passed his MBA and started a software firm, titled Rohan Software Limited (RSL). The following are the list of Transactions for RSL:

PERIOD I

- On March 1, Rohan invests ₹5 million in cash in Rohan Software Limited (RSL).
- On March 2, RSL took a loan of ₹2 million from Venugopal.
- On March 3, RSL purchased using cash: computers & furniture, costing ₹5.8 million.
- On March 4, RSL purchased stationary worth ₹6,00,000 on credit from M/s Hardeep.
- On March 19, RSL completes its maiden sale of software to a retail store and receives a price of ₹1.2 million.
- On March 21, RSL pays ₹2,00,000 to its creditors for supplies.
- On March 29, RSL pays salaries to its employees, amounting to ₹4,00,000 and as office rent ₹1,00,000.
- On March 30, RSL delivers a software package for a shoe shop, Bata India. The customer agrees to pay the price of ₹8,00,000 after two months.
- On March 31, RSL gives ₹3,00,000 to owners (as a reward for its good performance)

Prepare status of assets and liability for March month.

Solution

The first transaction, wherein the owners invest Rs5 million in cash would result in the cash going up on the assets side for the new business entity along with the owner(s)-equity going up in the liabilities side of the position statement.

Rohan Software Limited

Position statement as on March 1 *(All amounts in ₹ '000)*

Assets		Liabilities and Owners Equity	
Current Assets		*Owners' Equity*	
Cash	50,00	Capital	50,00
Current Assets Total	50,00	*Owners' Equity Total*	50,00
Total Assets	**50,00**	**Total Liabilities and Owners' Equity**	**50,00**

On March 2, Rohan took a loan of ₹2 million from Venugopal would result in the cash balance going further up and on the liability side a new loan item would come as the business entity now owes money to outsiders also. The result would be:

Rohan Software Limited

Position statement as on March 2 *(All amounts in ₹ '000)*

Assets		Liabilities and Owners' Equity	
Current Assets		*Current Liabilities*	
Cash	70,00	Loan from Venu	20,00
Current Assets Total	70,00	*Current Liabilities Total*	20,00
		Owners' Equity	
		Capital	50,00
		Owners' Equity Total	50,00
Total Assets	**70,00**	**Total Liabilities and Owners' Equity**	**70,00**

On March 3, RSL purchased using cash: computers & furniture, costing ₹5.8 million. This will create a new fixed asset and reduce the cash balance in the firm. There will be no change in the liability side.

Rohan Software Limited

Position statement as on March 3 (*All amounts in ₹ '000*)

Assets		Liabilities and Owners' Equity	
Current Assets		*Current Liabilities*	
Cash	12,00	Loan from Venu	20,00
Current Assets Total	12,00	*Current Liabilities Total*	20,00
Tangible Fixed Assets		*Owners' Equity*	
Computer	58,00	Capital	50,00
Fixed Assets Total	58,00	*Owners' Equity Total*	50,00
Total Assets	**70,00**	**Total Liabilities and Owners' Equity**	**70,00**

On March 4, RSL purchased stationary worth ₹6,00,000 on credit from M/s Hardeep. The result of this transaction would be a simultaneous increase in a current asset and a current liability (M/s Hardeep):

Rohan Software Limited

Position statement as on March 4 (*All amounts in ₹ '000*)

Assets		Liabilities and Owners' Equity	
Current Assets		*Current Liabilities*	
Cash	12,00	(M/s Hardeep) Sundry Creditors	6,00
Supplies	6,00	Loan from Venu	20,00
Current Assets Total	18,00	*Current Liabilities Total*	26,00
Tangible Fixed Assets		*Owners' Equity*	
Computer	58,00	Capital	50,00
Fixed Assets Total	58,00	*Owners' Equity Total*	50,00
Total Assets	**76,00**	**Total Liabilities and Owners' Equity**	**76,00**

On March 19, RSL completes its maiden sale of software to a retail store and receives a price of 1.2 million. Assuming no further deliverables and promises as part of the software, this would result in the cash balance going up by 1.2 Million and the owners' equity also going up. The resulting position statement would be:

Rohan Software Limited

Position statement as on March 19 (*All amounts in ₹ '000*)

Assets		Liabilities and Owners' Equity	
Current Assets		*Current Liabilities*	
Cash	24,00	(M/s Hardeep) Sundry Creditors	6,00
Supplies	6,00	Loan from Venu	20,00
Current Assets Total	30,00	*Current Liabilities Total*	26,00
Tangible Fixed Assets		*Owners' Equity*	
Computer	58,00	Capital	50,00
		Profit Retained	12,00
Fixed Assets Total	58,00	*Owners' Equity Total*	62,00
Total Assets	**88,00**	**Total Liabilities and Owners' Equity**	**88,00**

- On March 21, RSL pays INR 2,00,000 to its creditors for supplies. This would reduce the cash balance of the organization and also the amount owed to the supplier.

Rohan Software Limited

Position statement as on March 21 *(All amounts in ₹ '000)*

Assets		Liabilities and Owners' Equity	
Current Assets		*Current Liabilities*	
Cash	22,00	(M/s Hardeep) Sundry Creditors	4,00
Supplies	6,00	Loan from Venu	20,00
Current Assets Total	28,00	*Current Liabilities Total*	24,00
Tangible Fixed Assets		*Owners' Equity*	
Computer	58,00	Capital	50,00
		Profit Retained	12,00
Fixed Assets Total	58,00	*Owners' Equity Total*	62,00
Total Assets	**86,00**	**Total Liabilities and Owners' Equity**	**86,00**

- On March 29, RSL pays salaries to its employees, amounting to Rs4,00,000 and as office rent Rs 1,00,000. This would result in the cash balance going down by Rs 5,00,000 and the reduction in the owners' equity to ensure that the balance sheet equation tallies.

Rohan Software Limited

Position statement as on March 29 *(All amounts in ₹ '000)*

Assets		Liabilities and Owners' Equity	
Current Assets		*Current Liabilities*	
Cash	17,00	Sundry Creditors	4,00
Supplies	6,00	Loan from Venu	20,00
Current Assets Total	23,00	*Current Liabilities Total*	24,00
Tangible Fixed Assets		*Owners' Equity*	
Computer	58,00	Capital	50,00
		Profit Retained	7,00
Fixed Assets Total	58,00	*Owners' Equity Total*	57,00
Total Assets	**81,00**	**Total Liabilities and Owners' Equity**	**81,00**

- On March 30, RSL delivers a software package for a shoe shop, Bata India. The customer agrees to pay the price of Rs 8,00,000 after two months. (assuming certain payments)

Rohan Software Limited

Position statement as on March 30 *(All amounts in ₹ '000)*

Assets		Liabilities and Owners' Equity	
Current Assets		*Current Liabilities*	
Cash	17,00	Sundry Creditors	4,00
Receivable	8,00	Loan from Venu	20,00
Supplies	6,00	Current Liabilities Total	24,00
Current Assets Total	31,00		
Tangible Fixed Assets		*Owners' Equity*	
Computer	58,00	Capital	50,00
		Profit Retained	15,00
Tangible Fixed Assets Total	58,00	*Owners' Equity Total*	65,00
Total Assets	**89,00**	**Total Liabilities and Owners' Equity**	**89,00**

On March 31, RSL gives ₹3,00,000 to owners (as a reward for its good performance). An owner drawing some cash from his own business entity would lead to reduction in both cash and in the owners equity. The resulting position statement would be:

Rohan Software Limited

Position statement as on March 31 *(All amounts in ₹ '000)*

Assets		Liabilities and Owners' Equity	
Current Assets		*Current Liabilities*	
Cash	14,00	Sundry Creditors	4,00
Receivable	8,00	Loan from Venu	20,00
Supplies	6,00	*Current Liabilities Total*	24,00
Current Assets Total	28,00		
Tangible Fixed Assets		*Owners' Equity*	
Computer	58,00	Capital Invested	50,00
		Profit Retained	12,00
Fixed Assets Total	58,00	*Owners' Equity Total*	62,00
Total Assets	**86,00**	**Total Liabilities and Owners' Equity**	**86,00**